

turning an ordinary family into an Old Money family.

How? She shapes the family and nurtures the people in it. She helps create the “shared vision” a family needs to succeed.

LIFE ON A DUAL-INCOME TREADMILL

In most conventional, nuclear families, especially in the United States, both the husband and the wife work. At first glance, this seems like a shrewd way to build family wealth. With two family members working, you essentially double your household income. Initially. But that’s true in the short run only. Over time, having both husband and wife work could actually make the family poorer.

How could that be? When both have normal jobs, working normal hours, neither will have the time to do something extraordinary. The wealth builder will not have the time it takes to succeed. Neither will the family builder. You will end up with an ordinary family, not one that can preserve wealth over generations. When both family members work, neither works hard enough at his task to succeed.

First, let’s look at the money side of it. If both adult family members are working, it adds to family expenses in terms of child care, transportation, clothing for work, meals, tutoring, and other necessary expenses that come with holding two full-time jobs. We have to expect, too, that household chores are shared—in the modern fashion. This leaves each spouse working normal hours. That’s the problem right there. You’re not likely to earn an exceptional amount of money working normal hours. So both spouses earn normal incomes, against which they also have two-earning-household expenses.

This leaves them on a typical treadmill. They have more money than a one-wage-earner household, at least starting out. But not enough so that they are ever able to reach what we call “financial escape velocity,” which we’ll explain later. For now, we’ll just note that they have two rather ordinary incomes.